

STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY

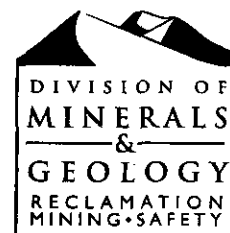
Department of Natural Resources

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Bill Owens
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April 28, 2003

Mr. John Lohr
CEMEX
P.O. Box 529
Lyons, CO 80540RE: CEMEX, Inc., Lyons Mine, Permit No. M-1977-208
Reclamation Cost for Demolition of the Cement Plant

Dear Mr. Lohr,

The Division received the latest reclamation cost estimate for the CEMEX Lyons Mine, Permit No. M-1977-208 submitted by Banks and Gesso, LLC. The estimated cost to demolish and reclaim the Cement Plant totals \$7.67 million.

The estimate prepared by Banks & Gesso allows for a cost associated with on-site burial of concrete, which is classified by the Division as "inert material." It was agreed that the on-site disposal costs can be used in the estimate if a revision to the permit is submitted within 60-days of posting of the bond. Therefore, the Division concurs with the \$7.67 million estimate with the condition that a technical revision for the on-site disposal facility will be submitted within 60-days of posting the bond.

The Division currently holds a reclamation bond in the amount of \$369,100.00, which covers the estimated cost to reclaim the remainder of the Lyons Mine. The increase of \$7.67 million revises the total reclamation cost to \$8,039,100.00. According to Rule 4.2.1(1) and (2), the Division may review a financial warranty at any time to determine if the amount is sufficient to perform reclamation. The result of the recalculation conducted by Banks & Gesso indicates that the site is currently underbonded. This letter is to inform you that your financial warranty will need to be revised from its current amount of \$369,100.00 to \$8,039,100.00 within 60 days of receipt of this letter.

If you have any questions, please do not hesitate to contact me at 303-866-4943.

Sincerely,

Erica S. Crosby
Environmental Protection Specialist

CERTIFIED MAIL 7000 1670 0000 0689 6521

cc: Carl Mount; DMG (via e-mail)
Barbara Chiappone; DMG (via e-mail)
M. Danelle Volpe; Banks & Gesso, LLC.